

Personnel Economics and Internal Labor Markets

Labor II — Week 3

Teaching deck draft

Central question and course positioning

- Once the firm has chosen employment and adjustment speed, how should it organize workers inside the firm?
- Week 3 stays on the firm side: incentives, promotions, teams, managers, and workplace rules.
- Week 4 moves outward to search, turnover, vacancies, and unemployment flows.

Week 2 to Week 3 bridge

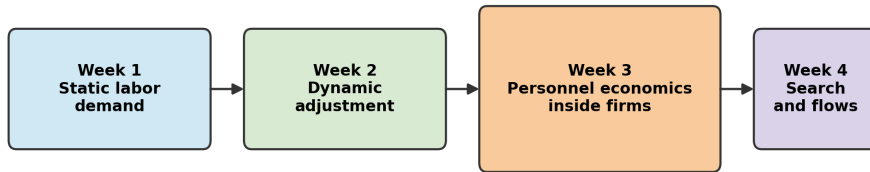
- Week 2 asked why firms do not move instantly to their labor-demand target.
- Week 3 asks why two firms with similar workforces can still have very different productivity, retention, and promotion outcomes.
- Adjustment costs tell us why employment paths are slow; personnel economics tells us how firms govern the workers they have.

What personnel economics studies inside firms

$$Y = F(K, L, e(\omega), m, T)$$

- Internal organization changes output through effort, supervision, and team structure, not only through headcount.
- The key objects are incentives, evaluation, assignment, promotion, and workplace practices.
- This is labor economics inside firms, not a separate management detour.

Course map



Organize, motivate, assign, promote, retain

$$e_i = e(w_i, b_i(y_i), p_i, \text{monitoring}_i)$$

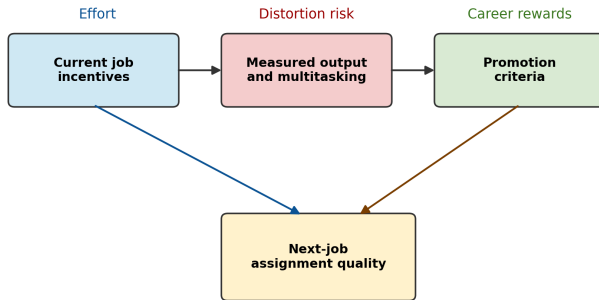
- Fixed pay, bonus pay, promotions, and monitoring are joint instruments.
- Incentives can change effort today and selection into the job tomorrow.
- Firm experiments are strongest for within-firm treatment effects, weaker for transportability.

Multitasking, subjective evaluation, and career incentives

$$q_i = \theta_1 a_{i1} + \theta_2 a_{i2} + \varepsilon_i$$

- Measured output is often an incomplete proxy for firm value.
- Narrow performance pay can distort task allocation.
- Subjective evaluation and promotions help repair missing information, but they add opacity and politics.

Incentives and promotions connect current and future jobs



Promotions motivate current effort and allocate workers to future roles

Promotions, assignment, and the Peter Principle

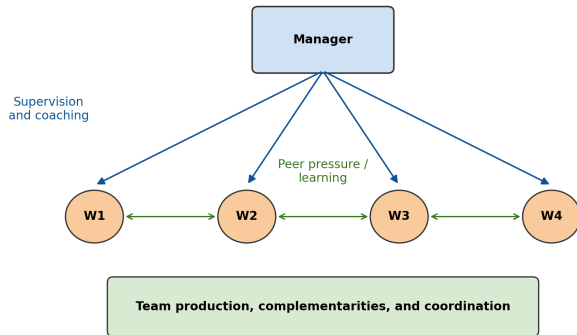
$$\Pr(\text{promote}_i = 1) = g(y_i, z_i, \hat{m}_i)$$

- Promotions are both incentives in the current job and assignments into the next job.
- Promoting the best current performer need not produce the best future manager.
- Benson, Li, and Shue turns the Peter Principle into a measurable personnel-data object.

$$y_i = a_i e_i + \rho \bar{e}_{-i} + u_i$$

- Manager effects, peer effects, and team complementarities are distinct channels.
- Team incentives can internalize complementarities but can also invite free-riding.
- Management-practice measurement is not the same as a causal management shock.

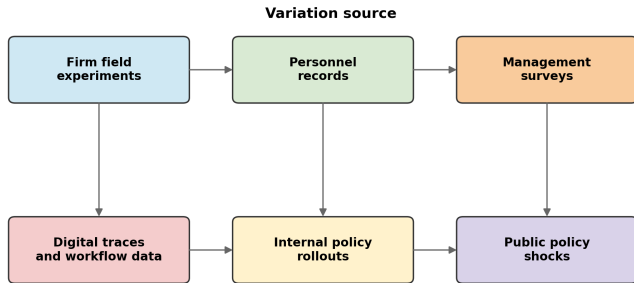
Managers, peers, and spillovers



Data, designs, and external validity

Design	Variation	Margin	Core caveat
Firm experiment	Incentives or teams	Output, profit	Narrow external validity
Internal policy change	Rollout or criteria	Productivity, re- tention	Endogenous adoption
Personnel records	Promotions, switches	Assignment, ca- reers	Selective reallocation
Management survey	Practices across firms	Productivity, wages	Measurement vs causal- ity
Digital trace or policy shock	Communication, rules	Workflow, quits, inequality	Proprietary or bundled channels

Data and design map

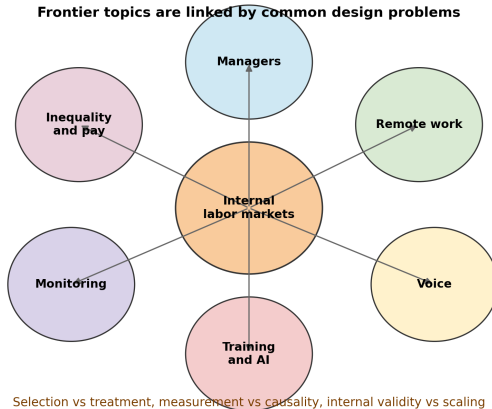


Observed margins: effort, promotions, quits, workflow, inequality

- Managers below the C-suite: who becomes a good manager, and when is quality portable?
- Remote work: separate selection from treatment before interpreting productivity or promotion gaps.
- Voice, communication, and internal governance: policy can change workplace organization from outside the firm.
- Digital traces, algorithmic management, AI, and training: new data make internal organization observable but raise new interpretation risks.

Research opportunities landscape

Frontier topics are linked by common design problems



- Personnel practices affect quits, internal hiring, retention, and vacancy filling.
- Week 4 takes these internal labor-market choices and studies worker flows across firms and unemployment states.
- Search and matching are easier to interpret once the inside of the firm is already clear.

Takeaways

- Personnel economics studies incentives, evaluation, assignment, promotion, and organization inside firms.
- The key distinctions are effort versus sorting, assignment versus incentives, and managers versus peers.
- The best empirical habit is to name the variation, unit, observed margin, and external-validity caveat every time.
- Week 4 moves from internal labor markets to turnover, search, and unemployment flows.